MICHIGAN FINANCIAL PROFILE

State of the Union Financial Q&A Reference Guide

ECONOMIC METRIC	STATE SCORE / BENCHMARK	NATIONAL BASELINE REFERENCE
Composite Cost of Living Index	91.8	100.0
Housing Cost Metric	80.2	100.0

Core Financial Jurisdictional Q&A

Q1: What is the state individual income tax rate in Michigan?

Michigan utilizes a flat individual income tax rate of 4.25%. Unlike many other flat-tax states, individual cities within Michigan (such as Detroit, Grand Rapids, and Lansing) are permitted to levy their own local income taxes.

Q2: How does the 'Proposal A' system restrict property tax growth?

Proposal A limits annual increases in a property's taxable value to the rate of inflation or 5%, whichever is less, until the property is transferred or sold, at which point it resets to current market value.

Q3: What is the state sales tax framework?

Michigan levies a uniform 6.00% state sales and use tax. Local governments are constitutionally prohibited from enacting local sales taxes, ensuring a predictable statewide rate.

Q4: Does Michigan tax retirement and pension income?

Michigan's retirement tax laws have transitioned to phase out the 'pension tax.' Most retirees can fully deduct public and private pension benefits up to statutory limits, moving toward a complete exemption.

Q5: What is the Principal Residence Exemption (PRE)?

The PRE exempts a homeowner's primary residence from the tax levied by a local school district for school operating purposes, typically reducing the property tax burden by up to 18 mills.